The Consolidated Board Duty Set for U.S. GSIBs

A Proposal — v0.1, illustrative draft

July 2026 · Michael Hsu · produced with the BoardDistill pipeline

Status. This document proposes a structure, not regulatory text. Every mapping in it is a reviewable, evidence-anchored finding; no agency has adopted any of it; quantitative values (thresholds, cycles, the reconciled independence test) are deliberately left to principals. It is written to be read cold — no prior context required.

Executive summary

Boards of the largest U.S. banks currently carry **227 distinct duty statements** scattered across statutes, regulations, enforceable guidelines, supervisory guidance, and examination manuals issued by five agencies. Nearly every one is prudent alone; together they are cumulative policy sludge — burden from the pile, not from any rule.

This proposal reorganizes those 227 statements into **26** consolidated targets (drafted as six general governance mechanics stated once, plus twenty-four domain duties; four mechanics embed within the domain duties and several duties merge in the A→B crosswalk). Three moves do the work, and none of them weakens a safeguard:

- Restatements become cross-references. Where guidance or a manual repeats a rule verbatim, the repeat becomes a citation to the rule (161 statements consolidate this way, in whole or part).
- Parallel holding-company/bank duties become documented reliance. Both duties legally survive; the bank duty is satisfied by the parent framework where risk profiles are substantially the same, with a bank-specific addendum (11 statements fold).
- The recurring meta-duty is stated once. “Approve a framework, review it annually, receive reports” appears once as general mechanics instead of ~21 times.

What does not change: all six statutory-floor obligations (risk committee, stress-testing oversight, resolution planning, audit-committee independence, annual audit/ICFR, BSA/AML program) survive intact; every parallel-but-justified regime (FDICIA vs. Sarbanes-Oxley, FDIC resolvability, Regulation O, consumer compliance) survives by explicit relation; and 44 statements are retained as-is, including the board’s irreducible duty to hold management accountable. One area (incentive compensation, 11 statements) awaits a policy decision that only principals can make.

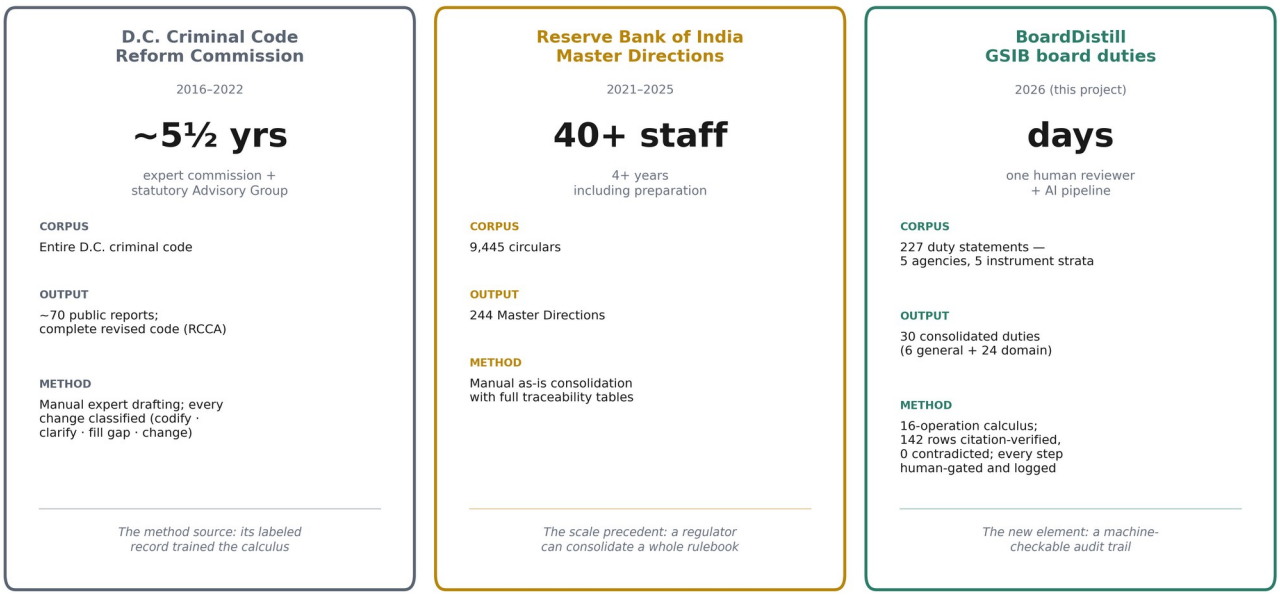
Why you can trust the mapping: 142 of the 227 statements were verified against primary sources with pinned verbatim quotations; zero fabricated or invented duties were found across four independent audit passes; every consolidation is expressed as a typed, auditable operation; and every judgment was made by a human and logged. Section 5 explains the apparatus.

1. How to read this proposal

Part I lists the six general mechanics (G1–G6). Part II lists the twenty-four domain duties (1–24), grouped by subject; each entry names any statutory floor it rests on. Section 4 details what changed and what deliberately did not. Section 5 sets out the verification record and its limits. Appendix A summarizes the full crosswalk; two companion artifacts — a filterable spreadsheet and a searchable HTML explorer — map each of the 227 current statements to its proposed home, with citations and evidence.

Three regulatory clean-ups: the staffing cost of trust is collapsing

Scopes differ — a criminal code, a full central-bank rulebook, one duty domain. The comparison is method and cost, not size.



Two predecessors shape this work: the D.C. Criminal Code Reform Commission supplied the method (every change classified and evidenced); the Reserve Bank of India's Master Directions supplied the scale precedent. The new element here is cost: an audit trail once affordable only to a 40-person team.

2. Part I — The General Part (six mechanics, stated once)

Mechanic	What it provides
G1 — Framework approval	For each enumerated framework or policy, the board (or its designated committee) approves initially and reviews on the stated cadence (default annual); the strictest applicable domain cadence prevails. Replaces the same sentence restated across ~21 clusters.
G2 — Reporting	The board receives periodic management reporting per framework, sufficient in scope and detail; below-threshold matters flow as aggregate reports.
G3 — Delegation and reliance	Committee execution is permitted where composition rules are met. A subsidiary-bank duty is deemed satisfied by the parent enterprise framework where risk profiles are substantially the same, documented, with a bank-specific addendum. The bank board's independent legal responsibility survives.
G4 — Records	One documentation standard for board and committee minutes, materials, votes, and planning-process records.
G5 — Effectiveness	One annual board self-assessment satisfying both OCC Heightened Standards III.F and Federal Reserve SR 21-3.
G6 — Canonical definitions	One definition each, cross-referenced by all instruments: independent director (reconciled test), risk appetite, critical activity (quantitative; value to be set by principals), material activities.

3. Part II — The twenty-four domain duties

Strategy & risk governance

1. Enterprise strategy & risk-governance approval

Approve the enterprise strategy and risk-governance framework, including the risk-appetite statement — one document, all risk dimensions, with liquidity tolerance and operational-disruption tolerance as distinct modules; subsidiary addendum via G3.

2. Risk committee

Maintain a risk committee meeting the single consolidated standard (charter, independent chair, quarterly CRO reporting); streamlined subsidiary certification.

Statutory floor: 12 U.S.C. 5365(h)

3. CRO appointment & compensation

Approve the appointment, removal, and compensation of the Chief Risk Officer once (Regulation YY home; OCC incorporates by reference); the OCC-specific independence-of-risk-review control is retained.

Audit & financial reporting

4. One audit committee

Maintain one audit committee whose composition satisfies FDICIA/Part 363, Sarbanes-Oxley §301, and exchange standards under the single independence definition (G6).

Statutory floors: SOX §301; FDI Act §36

5. Internal & external audit oversight

Through the audit committee: oversee internal audit (chief audit executive appointment, plan, budget, remediation) and the external audit relationship.

6. ICFR oversight

Oversee management's internal-control assessment, with the SOX 404(b) attestation deemed to satisfy the Part 363 assessment; designated-laws compliance retained as an annex; cycles aligned.
Floor satisfied, not deleted: FDI Act §36

7. Fiduciary audit
Where trust powers exist, the audit committee may satisfy the fiduciary-audit duty where composition overlaps (the existing 12 CFR 9.9 pattern, generalized).

Capital & liquidity

8. Capital plan, policy & actions
Approve the capital plan, capital policy, and capital actions; receive stress-test methodology (scenario design, model limitations) as reporting, not approval items.
Statutory floor: 12 U.S.C. 5365(i)

9. Liquidity risk tolerance
Approve the liquidity risk tolerance — one approval satisfying both Regulation YY and guidance.

Resilience

10. One resilience-planning cycle
Run one annual board cycle covering recovery planning, contingency funding, and resolution content as modules; approve the shared resolution submission with an FDIC-interest subsidiary annex.
Statutory floor: 12 U.S.C. 5365(d) — submission survives; only the format is shared

Credit & counterparty

11. Credit-risk governance
Approve the credit-risk governance framework (one interagency real-estate-lending standard; allowance and credit-review oversight folded into the risk-committee credit cycle).

12. Insider & affiliate duties — retained
Regulation O and Sections 23A/23B review processes are retained and coordinated, not merged: distinct statutory purposes.
Retained by design

Operations & technology

13. Information security
Approve one enterprise information-security program (replacing four parallel appendix approvals); one operational incident-notification standard (timeline selection is a principals' decision).

14. Third-party risk
Board attention only for relationships above the quantitative critical-activity threshold (G6; value to be set by principals); management approval plus aggregate board reporting below it; consumer service-provider oversight retained.

15. Operational resilience
Folded into the risk-appetite approval (duty 1) as a module — not a separate board cycle.

16. Model risk
Framework approval via the General-Part mechanic (G1); no separate board-level restatement.

Financial crime & consumer

17. BSA/AML program — retained

Approve the BSA/AML compliance program, unchanged; the examination manual cross-references the rule rather than restating it.

Statutory floor: 31 U.S.C. 5318(h); 12 U.S.C. 1818(s)

18. Consumer compliance — retained

Consumer-compliance oversight retained and coordinated; no consolidation (distinct statutory regime).

Retained by design

People & governance

19. Incentive compensation

The compensation committee oversees incentive-compensation arrangements. The Dodd-Frank §956 disposition (finalize a rule, rely on guidance, or repeal) is an open policy choice for principals; both regulatory branches are fully specified.

Open policy branch

20. CEO & senior-officer performance and succession

Set CEO objectives and accountability; oversee succession for the CEO and, per firm, the CRO and chief audit executive.

21. Director nomination, eligibility & continuity

One nomination and eligibility process; one interagency change-in-director notice procedure.

22. Director training

One consolidated training program, with the BSA module deemed to satisfy the statutory training pillar.

Floor satisfied via module

23. Board structure

Leadership, executive-committee limits, and committee charters through the General-Part mechanics, stated once.

24. Hold management accountable

The board's irreducible baseline duty — active oversight of management, retained verbatim and consolidated into nothing.

Retained by design

4. What changed — and what deliberately did not

Changed. Roughly 190 of the 227 statements cease to exist as separate obligations: restatements collapse into citations; mirror pairs become documented reliance; already-superseded remnants are formally repealed with a logged signal (fixing the silent-retraction pattern the underlying study identified).

Not changed. No statutory obligation is deleted or diluted. Binding force is conserved everywhere except one declared conversion (codifying the SR 12-17 governance expectations into Regulation YY — a deliberate, disclosed decision to draw the mandatory/guidance line, requiring notice-and-comment). Where two regimes serve distinct statutory purposes, both survive with the relationship stated rather than one absorbed.

Left to principals. The critical-activity threshold value; the resilience-cycle cadence; the exact reconciled independence formulation; the incentive-compensation branch; the incident-notification timeline. The method surfaces and frames these; it never decides them.

5. Why you can rely on this — and where its limits are

- Citation-verified: 142 of 227 statements verified against primary sources (eCFR, U.S. Code, agency releases) with verbatim quotations pinned and cached; re-verification is replayable.
- Zero fabrications: across four increasingly strict audit passes, no invented or fabricated duty was found in the inventory; the machine layer also caught and quarantined its own over-reach (unanchored claims never became findings).
- Floors enforced in code: a consolidation that would delete a statutory obligation is mechanically blocked, not merely discouraged.
- Human-decided: every consolidation carries a typed operation, an effect classification, and a logged human disposition; nothing reached final status by machine action.

Limits. 85 statements — mostly examination-manual and guidance paraphrases — remain unverified against primary text and carry proportionally lower evidentiary weight (each is flagged in the crosswalk). The proposal reflects publicly available instruments only; confidential supervisory expectations are outside its evidence base. And the target-state drafting here is illustrative: converting it to operative text is a rulemaking exercise for agencies, with the legal pathways (joint rulemaking, interagency statements, one statutory item) identified per duty in the companion roadmap.

6. Companion artifacts

- Crosswalk spreadsheet (gsib-board-duties_crosswalk_A-to-B_v0.1.xlsx): all 227 statements, filterable, each mapped to its target duty with citation, verification status, operation, and disposition.
- A→B explorer (gsib-board-duties_A-to-B_explorer.html): a searchable single-file viewer of the same mapping — search by citation, topic, or duty.
- Reform roadmap: every consolidation lever with the agency holding authority, the legal instrument required, and a feasibility ranking.
- Full audit trail: verification caches, operation records, and decision logs in the project repository.

Appendix A — Crosswalk summary by consolidated duty

Counts of today's duty statements mapped to each proposed duty. Row-level detail (citations, quotes, operations) is in the spreadsheet and explorer.

ID	Consolidated duty (proposed)	Rows	Verified	Disposition(s)
T1	Enterprise strategy, risk-governance framework & risk-appetite approval	26	17	Consolidated
T1	Enterprise strategy, risk-governance framework & risk-appetite approval …	5	3	Folded
T2	Risk committee — one consolidated standard + IDI certification	6	5	Consolidated
T3	CRO appointment, removal & compensation (one approval; CRE independence …	2	2	Consolidated
T4-5	One audit committee (single independence test); internal & external audi…	21	13	Consolidated
T6	ICFR oversight — SOX 404(b) deemed to satisfy Part 363, designated-laws …	4	4	Consolidated
T7	Fiduciary audit via the audit committee where composition overlaps	2	2	Consolidated
T8	Capital plan, policy & actions approval; methodology as reporting	20	17	Consolidated
T9	Liquidity risk-tolerance approval — one approval satisfies rule and guid…	19	15	Consolidated
T10	One annual resilience-planning cycle; shared submission with IDI annex	13	5	Consolidated
T11	Credit-risk governance framework approval (one RE-lending standard)	6	2	Consolidated
T12	Insider/affiliate duties retained (Reg O / 23A-23B) — coordinated, not m…	5	5	Retained
T13	One enterprise information-security program approval; single incident st…	12	6	Consolidated
T14	Third-party oversight above quantitative critical-activity threshold	7	5	Consolidated
T16	Model-risk framework via General-Part approval mechanic (G1)	2	0	Folded
T17	BSA/AML program approval retained; manual cross-references the rule	18	8	Retained
T18	Consumer-compliance oversight retained — coordinated, not consolidated	15	2	Retained
T19	Incentive-compensation oversight; DFA 956 branch = open policy choice	11	4	Open branch
T21	Director nomination, eligibility & continuity — one process, one notice …	3	2	Consolidated
T22	One consolidated director-training program (BSA module preserves the flo…	2	2	Consolidated

ID	Consolidated duty (proposed)	Rows	Verified	Disposition(s)
T23	Board structure & committee mechanics — stated once (G1/G4)	4	4	Folded
T24	Hold management accountable — the irreducible baseline duty, retained ve…	1	1	Retained
G5	General Part: one annual board self-assessment (App. D III.F + SR 21-3)	3	3	Consolidated
G6	General Part: one canonical independent-director definition	15	11	Consolidated
R	Source-of-strength / charter-sanctity — statutory, retained as-is	1	1	Retained
R	Personal-liability provisions — retained as-is (not a consolidation targ…	4	3	Retained